

ANNOUNCEMENTS

1

SpaceX, xAI, and Anthropic Reveal the New Economics of AI Compute

Source: *Clouded Judgement (Jamin Ball)* · 2026-05-22

SpaceX's IPO filing disclosed that Anthropic will pay roughly \$1.25 billion per month, about \$15 billion per year, to use the Colossus data center capacity that xAI originally built to train Grok models.

2

Software Earnings Week Will Decide Whether AI Really Is Killing Enterprise SaaS

Source: *The Information, PYMNTS* · 2026-05-25

Attention turns to first fiscal quarter results from Salesforce, Snowflake, and Asana. The IGV enterprise software index fell roughly 23 percent earlier this year on fears that AI agents would eat seat-based SaaS.

3

Federal Jury Rejects Elon Musk's \$150 Billion Lawsuit Against OpenAI and Sam Altman on Statute of Limitations

Source: *NPR and TechCrunch* · 2026-05-18

A federal jury in California unanimously found that Elon Musk waited too long to bring his suit against Sam Altman and OpenAI, putting his claims beyond the statute of limitations. Musk had sought up to \$150 billion in disgorgement.

4

DeepSeek Makes Its 75 Percent Price Cut Permanent, Escalating the AI Price War

Source: *Reuters* · 2026-05-23

Chinese AI developer DeepSeek announced it will permanently keep a 75 percent price cut on its flagship V4-Pro model. The change drops V4-Pro pricing to roughly a quarter of its original level, with output token costs cited at around \$0.

THE WEEK IN ONE LINE

The AI compute stack is reshaping capital flows faster than portfolio models assume, AI vendor economics bend sharply toward commoditization just as agentic capability crosses into live financial markets, and the regulatory scaffolding around both AI claims and AI security is hardening in ways that will differentiate winners from also-rans.

Sources: Various AI/tech news outlets

WHAT IT MEANS

For an investment manager and strategic advisor, this disclosure reshapes two allocation questions at once. First, the most durable layer of the AI economy may be the physical one —...

Like: *It is like a railroad boom in which the companies selling steel rails and trackside land may capture more lasting...*

This is the cleanest near-term read on whether the AI displacement thesis is a real top-line event or a multiple compression story.

Like: *It is the moment in a long argument about a leak when the plumber finally lifts the floorboard.*

OpenAI heads into its IPO window with the single biggest contingent liability cleared. For an investment manager evaluating the most consequential AI IPO in a generation, the clearing of a...

Like: *Picture a contractor who tries to sue a former partner for stealing the business plan, only to be told the...*

The cost of frontier-grade AI is commoditizing faster than most portfolio models assumed. For an investment manager, the signal is that the AI model layer may not sustain the pricing...

Like: *It is like a new airline permanently pricing every seat at a quarter of the going rate.*

WHAT IT MEANS FOR: BROWN ADVISORY

PORTFOLIO STRATEGY

Brown Advisory's investment committees and client portfolios have significant exposure to AI through both direct equity positions and fund allocations. The SpaceX/Anthropic disclosure is the cleanest window yet into the actual economics of frontier AI...

MARKET INTELLIGENCE

Brown Advisory holds or advises on enterprise software positions that have been under pressure from the AI-displacement narrative. The Q1 prints from the three bellwethers are a decision-forcing event.

IPO INTELLIGENCE

Brown Advisory will likely face client questions about OpenAI's IPO — whether to participate, at what valuation, and with what allocation.

INVESTMENT STRATEGY

Brown Advisory's AI portfolio exposure needs a rebalancing lens that accounts for model-layer commoditization. The permanent 75% price cut from DeepSeek suggests the model-builder margin thesis is eroding faster than consensus expects, which means the...

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